



Disparate Impact

Overview

Disparate impact claims assert that an agency policy, though appearing neutral on its face, disproportionately impacts a protected class. Once a complainant establishes a prima facie case of disparate impact, the agency must demonstrate that the policy was justified by business necessity. The complainant must then show that there is an alternative policy or practice that can achieve the same goal without a disparate impact.

It's important to note that disparate impact claims raised under the Age Discrimination in Employment Act are treated differently from those raised under other antidiscrimination statutes. ADEA claims are discussed below under "Age discrimination."

Editor's note: In an executive order titled [Restoring Equality of Opportunity and Meritocracy](#), the Trump administration directed the elimination of the use of disparate-impact liability "in all contexts to the maximum degree possible to avoid violating the Constitution, Federal civil rights laws, and basic American ideals." The EO directs agencies to "deprioritize enforcement of all statutes and regulations to the extent they include disparate-impact liability, including but not limited to" [42 USC 2000e-2](#).

This Quick Start Guide covers the following Key Points:

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Key Points

These key-point summaries cannot reflect every fact or point of law contained within a source document. For the full text, follow the link to the source. The references to **Hadley** in this Quick Start Guide are to federal employment law expert Ernest Hadley's treatise, *A Guide to Federal Sector Equal Employment Law and Practice* (Dewey Publishing, Inc.), to which **cyberFEDS®** has exclusive Web rights.

In general

- **Hadley:** Unlike the theory of intentional discrimination, the theory of disparate or adverse impact discrimination does not require any showing of the employer's motive. Rather, the focus is entirely on the effect of the employer's policies and practices. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Theories of Discrimination -- Adverse Impact](#)
- **Hadley:** Perhaps because in an adverse impact case the employer is not culpable in the same sense as in cases of intentional discrimination, for years the theory has been a legal, as well as a political, battlefield. The battle has encompassed not only the question of the employer's liability for adverse impact discrimination, but the appropriate remedies. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Theories of Discrimination -- Adverse Impact](#)
- **Hadley:** The notion behind the adverse impact theory is that employment criteria, although facially neutral, can have the effect of disproportionately disadvantaging a certain protected class or classes. The theory is most often advanced in class actions. But it can also be applied to individual cases of discrimination, just as the theory of intentional discrimination can be applied to a class action. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Theories of Discrimination -- Adverse Impact](#)
- To establish a prima facie case of disparate impact, a complainant must present statistical evidence that establishes a disparity that is linked to the challenged practice or policy. *Reese v. Department of the Interior, National Park Service*, [112 LRP 57528](#), EEOC No. 0120122339 (EEOC OFO 2012).
- If the results of a selection procedure turn out to disproportionately favor one protected group, concern about a possible Title VII disparate impact claim alone will be insufficient to override the selection procedure and start over. An employer may only disregard the results of the procedure if it has "a strong basis in evidence to believe it will be subject to disparate impact liability" if it fails to do so. *Ricci et al. v. DeStefano et al.*, [109 LRP 38110](#), 129 S. Ct. 2658 (U.S. 2009).
- Claims of disparate impact may not be raised under the Genetic Information Nondiscrimination Act. [42 USC Section 2000ff-7\(a\)](#)

- GINA provides for a commission to be formed six years after its enactment to review development the science of genetics and determine if a disparate impact cause of action should be allowed under GINA. [42 USC Section 2000ff-7\(b\)](#).

Establishing a prima facie case

- In general, to establish a prima facie case of disparate impact, a complainant must show that an agency practice or policy, while neutral on its face, disproportionately impacted members of the protected class through presentation of statistical evidence that demonstrates a statistical disparity that is linked to the challenged practice or policy. Specifically, the complainant must: 1) identify the specific policy or practice challenged; 2) show statistical disparities; and 3) show that the disparity is linked to the challenged practice or policy. *Gwendolyn G. v. Department of State*, [120 LRP 28593](#), EEOC No. 2019005389 (EEOC OFO 2020).
- To establish a prima facie case of disparate impact, the complainant must show that the agency's practice or policy, while neutral on its face, disproportionately impacted members of the protected class. This is demonstrated through the presentation of statistical evidence that establishes a statistical disparity that is linked to the challenged practice or policy. *Giselle L. v. National Labor Relations Board*, [120 LRP 14735](#), EEOC No. 2019005170 (EEOC OFO 2020).
- A general assertion that positions advertised under the Pathways Programs for recent graduates disparately impacts older applicants will establish discrimination. *Bernardo C. v. Department of State*, [117 LRP 48010](#), EEOC No. 0120160564 (EEOC OFO 2017).
- An applicant for a park ranger position with the National Park Service argued in part that the agency's policies had a disparate impact on older individuals because it used Facebook and other social networking sites to recruit, and older people use computers less often than younger people. However, she failed to establish a prima facie case of disparate impact by demonstrating that a statistical disparity existed that was linked to the challenged practice or policy. *Reese v. Department of the Interior, National Park Service*, [11 LRP 57528](#), EEOC No. 0120122339 (EEOC OFO 2012).

Burdens of proof

- **Hadley:** Not only is the notion behind adverse impact cases different than in cases involving intentional discrimination, but the burdens of proof are different also. Upon a showing that a neutral employment criterion has an adverse impact, the burden shifts to the employer to demonstrate that the criterion is justified by a business necessity. The complainant or complainants then have the opportunity to demonstrate there is an alternative practice that will achieve the same end without a disparate impact that the employer refuses to implement. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Theories of Discrimination -- Adverse Impact](#).
- The burden is on the complainant to show that the facially neutral standard in question affects those individuals within the protected group in a significantly discriminatory pattern. *Gwendolyn G. v. Department of State*, [120 LRP 28593](#), EEOC No. 2019005389 (EEOC OFO 2020).
- In a disparate impact claim, the burden is on the complainant, not the agency, to provide evidence of the statistical impact of the agency's facially neutral policy or practice on the complainant's protected class. *Patterson v. Department of Veterans Affairs*, [110 LRP 10713](#), EEOC No. 0120093468 (EEOC OFO 2010).
- **Hadley:** The 1991 Civil Rights Act, at [42 USC Section 2000e-2\(k\)\(1\)\(A\)\(i\)](#), requires the employer to demonstrate that "the challenged practice is job related for the position in question and consistent with business necessity." Under the act, this demonstration requires the employer to bear the burden of persuasion on that issue. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Agency's Burden -- Business Necessity](#).
- **Hadley:** Under the 1991 Civil Rights Act, disparate impact is established if the complainant shows that an alternative employment practice would achieve the same purpose without adversely affecting a protected group and the employer fails to adopt the alternative practice. [42 USC Section 2000e-2\(k\)\(1\)\(A\)\(ii\)](#). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Alternative Methods](#).

Statistical evidence

- If employees rely on statistics to prove discrimination, the statistics must show a disparity of treatment with an elimination of the most common nondiscriminatory explanations of the disparity and permit an inference that, absent other explanation, the disparity more likely than not resulted from illegal discrimination. *Aliotta, et al. v. Federal Deposit Insurance Corp.*, [110 LRP 47088](#), 614 F.3d 556 (D.C. Cir. 2010).
- A sample of six applicants was too small to establish a statistical significance in a disparate impact claim. *Dudley H. v. Department of the Treasury, Internal Revenue Service*, [123 LRP 5923](#), EEOC No. 2019005559 (EEOC OFO 2023).
- The court found that the employees' statistical analysis was flawed. This caused the employees' age-based disparate treatment and disparate impact claims to fail. The court stated that correct statistics revealed a disparate effect on younger, not older, employees. *Aliotta, et al. v. Federal Deposit Insurance Corp.*, [110 LRP 47088](#), 614 F.3d 556 (D.C. Cir. 2010).
- A Department of Agriculture employee failed to show his nonselection was the result of disparate impact discrimination. In the absence of statistical evidence, his mere contention that the agency appeared to have excluded "nonmanagement Caucasian males, age 40 and over and "black males of any description" was insufficient. *Anderson v. Department of Agriculture, Food and Nutrition Service*, [110 LRP 10026](#), EEOC No. 0120093421 (EEOC OFO 2010).
- The EEOC affirmed the agency's decision finding of no disparate impact discrimination. It found the complainant's claim that three African-American coworkers had been removed for criminal convictions did not, by itself, "amount to a statistical disparity" supporting her disparate impact allegation. It further found the complainant's federal guilty plea undermined her suitability for an accounting technician position and was a legitimate, nondiscriminatory reason for the agency's actions. *Prowell v. U.S. Postal Service*, [109 LRP 8336](#), EEOC No. 0120064510 (EEOC OFO 2009).

Business necessity

- **Hadley:** The 1991 Civil Rights Act, at [42 USC Section 2000e-2\(k\)\(1\)\(A\)\(i\)](#), requires the employer to demonstrate that "th challenged practice is job related for the position in question and consistent with business necessity." Under the act, this demonstration requires the employer to bear the burden of persuasion on that issue. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Agency's Burden -- Business Necessity](#).
- "To establish that a criminal conduct exclusion that has a disparate impact is job related and consistent with business necessity under Title VII, the employer needs to show that the policy operates to effectively link specific criminal conduct, and its dangers, with the risks inherent in the duties of a particular position." [EEOC Enforcement Guidance on the Consideration of Arrest and Conviction Records in Employment Decisions Under Title VII of the Civil Rights Act of 1964](#).
- Although the petitioner established a prima facie case of disparate impact race discrimination, the agency successfully established that its reduction in force, which abolished all WG-8 pipefitting worker positions, was a business necessity because of budget and workload constraints. *Cooke v. Department of the Navy*, [95 FEOR 3034](#), EEOC No. 03940121 (EEOC 1994).

Case examples

- The EEOC found the agency subjected an applicant for an internal revenue agent position to disparate treatment based on race when it rescinded his tentative offer of employment. However, the EEOC concluded that the applicant did not establish a prima facie case of disparate impact. He did not show statistical disparities to establish that members of his protected class were disproportionately affected by the agency's policy. Including the applicant, six applicants comprised the relevant applicant pool. This sample of applicants was not large enough to show statistical significance. *Dudley H. v. Department of the Treasury, Internal Revenue Service*, [14 LRP 5923](#), EEOC No. 2019005559 (EEOC OFO 2023).
- A foreign service officer asserted that the agency policy of using employees' names and sex-identifying pronouns in their personnel record led to discrimination against female candidates due to implicit bias. However, she did not show statistical disparities. She submitted statist evidence showing that 265 foreign service generalists were promoted, and that 56.6 percent of them had names that were clearly identifiable male, while only 31.8 percent had names that were clearly identifiable female. But she did not show the sex of all foreign service generalists. The court explained that the difference in numbers of males and females being promoted did not indicate sex discrimination without knowing the makeup of the total pool of generalists. The same problem arose with the officer's evidence showing that males were promoted in less time than females. *Gwendolyn G. v. Department of State*, [120 LRP 28593](#), EEOC No. 2019005389 (EEOC OFO 2020).
- A contract customer services assistant argued that the recent graduation requirement for a position disadvantaged applicants over age 40. Apart from this general assertion, he did not provide any evidence that the Pathways Programs had a statistically significant impact on old applicants. Therefore, his disparate impact claim failed. *Bernardo C. v. Department of State*, [117 LRP 48010](#), EEOC 0120160564 (EEOC OFO 2017).
- A management assistant's allegation of a disparate impact regarding the Pathways Program and the federal career intern program failed. The assistant presented a report showing that only 15.4 percent of bachelor's degrees are awarded to those who are 30 years old or older. The EEOC noted that the agency's policies on the Pathways Program show that it was open to graduate students and the federal career intern program had no education requirements. The EEOC concluded that the assistant failed to show through statistical evidence that the agency's use of these two programs disproportionately impacted older applicants. *Giselle L. v. National Labor Relations Board*, [120 LRP 14735](#), EEOC No. 2019005170 (EEOC OFO 2020).
- A class of female special agents for the Drug Enforcement Administration established that they were subjected to disparate impact on the basis of their sex when they were denied foreign assignments and promotions. The selection process was "highly subjective and without clear guidelines." The expert witness for the class concluded that there were statistically significant disparities in the number of foreign assignments given to male and female agents during the relevant time period. *Garcia, et al. v. Department of Justice, Drug Enforcement Administration*, [113 LRP 25207](#), EEOC No. 0120122033 (EEOC OFO 2013); *affirmed with a modified remedy*, [114 LRP 36612](#) (EEOC 2014).
- **Hadley:** The commission adopted a policy that use of criminal arrests to exclude persons from employment has a disparate impact on black and Hispanic employees and applicants. An agency cannot use an arrest as a basis for exclusion without demonstrating a business necessity. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Criminal Arrests](#), *citi Rodriguez v. Social Security Administration*, [101 FEOR 1214](#), EEOC No. 01983135 (EEOC 2001).
- The complainant failed to present statistical evidence establishing a disparity that was linked to an agency practice or policy. Moreover, the complainant's representative incorrectly argued that the agency failed to provide evidence of a statistical impact. The EEOC explained that the burden of proof is on the complainant to show that the agency's practice or policy, while neutral on its face, disproportionately impacts members of her protected class. *Patterson v. Department of Veterans Affairs*, [110 LRP 10713](#), EEOC No. 0120093468 (EEOC OFO 2010).
- A Department of Agriculture employee failed to show his nonselection was the result of disparate impact discrimination. In the absence of statistical evidence, his mere contention that the agency appeared to have excluded "nonmanagement Caucasian males, age 40 and over and "black males of any description" was insufficient. *Anderson v. Department of Agriculture, Food and Nutrition Service*, [110 LRP 10026](#), EEOC No. 0120093421 (EEOC OFO 2010).
- A 51-year-old smokejumper could not prove that the Forest Service's fitness test requirement significantly impacted his protected age group over other classes. The smokejumper's expert established that regardless of age, the average employee passed the fitness requirement. *Rucker v. Department of Agriculture*, [109 LRP 30477](#), No. 08-6150-HO (D. Or. 2009).
- The complainant presented statistics to show the disparity between male and female engineers at the agency above the GS-12 level. Her evidence showed that six out of the 38 GS-12 engineering positions at the agency were held by women. Over a five year period, there were 16 or 17 promotions to the GS-13 level, all awarded to men. The EEOC found these numbers were too speculative to support a finding of

discrimination. Most of the promotions were temporary or based on seniority. Further, the complainant was unable to show that a specific employment practice was creating this disparity. *Brannon-Winters v. Department of the Navy*, [106 LRP 20988](#), EEOC No. 01A51549 (EEOC OFO 2006).

- The commission reversed the final agency decision, found the agency's 1991 pay schedule had a discriminatory disparate impact on the individual complainants, and provisionally certified a class consisting of those intermediate level nurses over the age of 40 as of April 7, 1991. *Van De Car, et. al v. Department of Veterans Affairs*, [100 FEOR 3201](#), EEOC Nos. 01971655, 01971651, 01971657 (EEOC 2000).

Age discrimination

- The U.S. Supreme Court has found that claims of disparate impact discrimination may be raised under the ADEA. However, unlike claims raised under Title VII, an employer may avoid a finding of disparate impact age discrimination by showing its action was based on a reasonable factor other than age. This was done by the defendant, and the Supreme Court found no discrimination. *Smith, et al. v. City of Jackson, Mississippi, et al.*, [105 LRP 13375](#), 125 S. Ct. 1536 (U.S. 2005).
- However, in a case where a group of current and former supervisory special agents for the FBI alleged that the agency subjected them to discrimination based on age when it set a policy with a five-year term limit to field positions held by grade GS-14 supervisory special agents, the U.S. District Court, District of Columbia granted summary judgment to the agency. It found that the federal section of the ADEA does not authorize disparate impact claims. *Allard v. Department of Justice, Federal Bureau of Investigation*, [112 LRP 3394](#), 10-2081 (R.J.L.) (D.D.C. 2012).
- In contrast, the EEOC has found that age-based claims of disparate impact are cognizable under the ADEA. *Van De Car, et al v. Department of Veterans Affairs*, [100 FEOR 3201](#), EEOC Nos. 01971656, 01971657, 01971655 (EEOC 2000); *Carpenter, et al. v. Department of Transportation, Federal Aviation Administration*, [111 LRP 66256](#), Nos. 0120091464, 0120091781, 0120091782, 0120091783 (EEOC OFO 2011).
- When an employment practice, including a test, is claimed as a basis for the different treatment of employees or applicants for employment on the grounds that it is a "factor other than" age, and such a practice has an adverse impact on individuals within the protected age group can only be justified as a "business necessity." [29 CFR 1625.7](#) (d).
- However, the U.S. Supreme Court ruled, in *Meacham, et al. v. Knolls Atomic Power Laboratory, et al.*, [108 LRP 36012](#), 128 S. Ct. 2395 (U.S. 2008), that the business necessity test should not be used in age-based disparate impact cases because it is sufficient to determine whether reasonable factors other than age prompted the employer's decision.
- A one-time decision to institute technological improvements that led to the elimination of premium pay for employees in certain positions, without more, does not establish a significantly discriminatory pattern. The employees with discontinued premium pay happened to be over 40, but there was no evidence that the action was pursuant to a practice or policy that disadvantaged older workers in favor of younger workers. *Carpenter, et al. v. Department of Transportation, Federal Aviation Administration*, [111 LRP 66256](#), Nos. 0120091464, 0120091781, 0120091782, 0120091783 (EEOC OFO 2011).

Criminal records

- "With respect to criminal records, there is Title VII disparate impact liability where the evidence shows that a covered employer's criminal record screening policy or practice disproportionately screens out a Title VII-protected group and the employer does not demonstrate that policy or practice is job related for the positions in question and consistent with business necessity." [EEOC Enforcement Guidance on the Consideration of Arrest and Conviction Records in Employment Decisions Under Title VII of the Civil Rights Act of 1964](#).
- An arrest alone does not establish that criminal conduct has occurred. Although an arrest "may in some circumstances trigger an inquiry into whether the conduct underlying the arrest justifies an adverse employment action," an exclusion based on an arrest, in and of itself, is not job related and consistent with business necessity. [EEOC Enforcement Guidance on the Consideration of Arrest and Conviction Records in Employment Decisions Under Title VII of the Civil Rights Act of 1964](#).
- "Although an arrest record standing alone may not be used to deny an employment opportunity, an employer may make an employment decision based on the conduct underlying the arrest if the conduct makes the individual unfit for the position in question. The conduct, not arrest, is relevant for employment purposes." [EEOC Enforcement Guidance on the Consideration of Arrest and Conviction Records in Employment Decisions Under Title VII of the Civil Rights Act of 1964](#).
- "To establish that a criminal conduct exclusion that has a disparate impact is job related and consistent with business necessity under Title VII, the employer needs to show that the policy operates to effectively link specific criminal conduct, and its dangers, with the risks inherent in the duties of a particular position." [EEOC Enforcement Guidance on the Consideration of Arrest and Conviction Records in Employment Decisions Under Title VII of the Civil Rights Act of 1964](#).

Special emphasis programs

- The complainant did not show discrimination with regard to the agency's and the federal government's sponsorship of special emphasis programs. The complainant did not show that he was deprived of any opportunities associated with the agency's sponsorship of special emphasis programs, nor did he demonstrate any resultant harm. The commission noted that the special emphasis programs "are carried out in harmony with the agency's overriding commitment to equal employment opportunity for all." *Fairbrother v. Department of Defense*, [92 FEOR 3053](#), EEOC No. 05910536 (EEOC 1991).

Compensatory damages

- Hadley:** [42 USC Section 1981a](#) limits the availability of compensatory and punitive damages to a subset of cases involving intentional discrimination, "that is, cases that do not rely on the 'disparate impact' theory of discrimination." [Hadley Guide to Federal Sector Equal Employment Law and Practice: Unintentional Discrimination Cases](#), citing *Kolstad v. American Dental Assoc.*, [103 LRP 23313](#), 527 U.S. 526 (U.S. 1999).

- The agency found that its reorganization plan had an age and race-based disparate impact on employees, including the complainant, who lost more than \$8,000 a year in salary as a result of the reduction in locality pay due to a transfer. The EEOC agreed that the complainant was not entitled to compensatory damages because they are not available under a disparate impact claim. However, it remanded the complaint for an investigation concerning the complainant's entitlement to the lost locality pay, noting that the agency could only avoid awarding it by proving it would have made the same decision in the absence of discrimination. *Complainant v. Department of Agriculture, Rural Development, 0120132476, 115 LRP 21214* (EEOC OFO 2015).

Other Resources

- [Quick Start Guide: Disparate Treatment](#)
- [EEOC Enforcement Guidance on the Consideration of Arrest and Conviction Records in Employment Decisions Under Title VII of the Civil Rights Act of 1964](#)
- For more guidance, see:
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 11 -- Theories of Discrimination -- Adverse Impact](#)
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 11 -- Theories of Discrimination -- Adverse Impact, Subchapter 03 -- The Civil Rights Act of 1991](#)
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 11 -- Theories of Discrimination -- Adverse Impact, Subchapter 03 -- The Civil Rights Act of 1991, Agency's Burden -- Business Necessity](#)

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